There is an additional Health and Education Cess chargeable at 4 per cent of income tax payable on tax plus surcharge.

In the budget 2020–21, the government introduced further complication.

A lower taxation rate structure was offered by splitting the slab of Rs 5–10 lakh into two slabs of Rs 5–7.5 lakh and Rs 7.5–10 lakh and introducing two more slabs, Rs 10–12.5 lakh and Rs 12.5–15 lakh, in the Rs 10–20 lakh slab for assessees who opt not to avail of the exemptions which were otherwise available.

There are more than ten effective income tax slabs and rates for those who opt for the new regime introduced in 2020–21 (for those taxpayers who decide not to avail specified exemptions) and more than eight rates (for those taxpayers who decide to avail specified exemptions). The rate structure has indeed become the most complicated ever.

The effective marginal rate of tax has also gone well beyond 40 per cent.

Besides making the PIT structure unnecessarily complicated, the use of the surcharge mechanism to transform the rate structure of income taxes is unfair to states as surcharge revenues are not shared with state governments under the Constitution as these do not form part of the devolution pool shared with the states in accordance with share recommended by the Finance Commissions.

The following reforms in the personal tax structure appear quite necessary, to be carried out almost immediately:

First, India’s lowest slab of tax (Rs 2.5 lakh to Rs 5 lakh) is too low considering even the average income levels in the economy. It also carries a nominal rate of tax of 5 per cent. Recognizing this, the government had exempted all taxpayers with taxable income under Rs 5 lakh from payment. India’s per capita GDP income in current prices in 2019–20 was Rs 1.5 lakh and in 2020–21, Rs 1.46 lakh. The minimum income exempt from personal income tax can be linked to average per capita GDP of the country for once